

Payment Integrity Scorecard

Program or Activity

Food and Nutrition Service (FNS) Child and Adult Care Food Program (CACFP) Family Day Care ..

Reporting Period

Q4 2025

FY 2024 Overpayment Amount (\$M)*

\$1

*Estimate based a sampling time frame starting 1/2015 and ending 12/2015



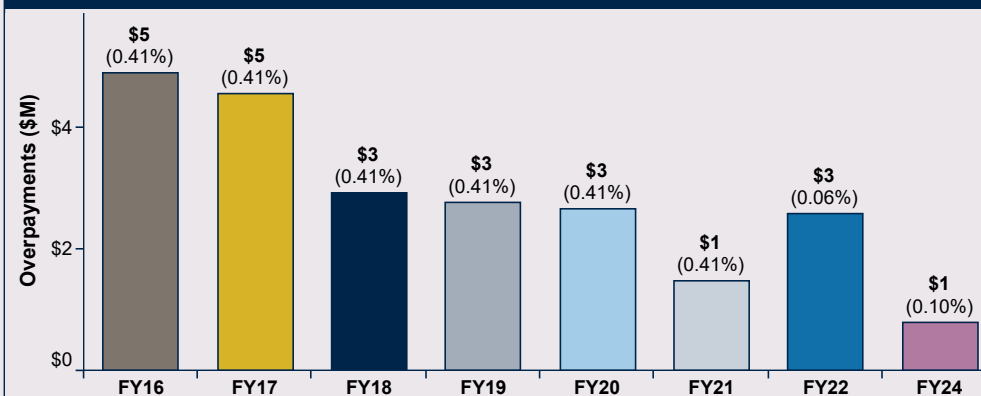
USDA

Food and Nutrition Service (FNS) Child and Adult Care Food Program (CACFP)
Family Day Care Homes (FDCH) - Tiering Decisions

Brief Program Description & summary of overpayment causes and barriers to prevention:

USDA's Child and Adult Care Food Program (CACFP) provides federal reimbursement through the states to child care centers and family day care homes (FDCH). Sponsoring organizations are responsible for immediate oversight of providers. The states are responsible for overseeing CACFP sponsors. Centers certify children for program benefits through household applications. FDCHs primarily rely on community measures of poverty to identify eligibility at the facility level. Sponsor error in eligibility determination ("certification error") is a leading cause of IPs. A significant barrier is the decentralized nature of the program; USDA does not directly confirm individual children or day care home facilities for eligibility.

Historical Payment Rate and Amount (\$M) (Overpayment as Percentage of Total Outlays)



Discussion of Actions Taken in the Preceding Quarter and Actions Planned in the Following Quarter to Prevent Overpayments

In the past quarter, FNS began data collection for updating measurements of error in Area Eligibility and Tiering determinations. These measures are used to estimate certification error rates from incorrect tiering determinations for Family Day Care Homes and incorrect area eligibility determinations for At-Risk Afterschool Care centers. Both components factor into the overall improper payment rate estimate for CACFP. Tiering error measurements have not been assessed in over 10 years, and prior analysis did not include an assessment of area eligibility, so updating these measurements will provide a more accurate estimate of error in the program. Once we have results from this effort, we will be able to use them to update and improve our methods for measuring certification error in CACFP. This analysis will also help us better understand root causes of these types of errors and how to mitigate them.

Accomplishments in Reducing Overpayment

Date

1	FNS staff conducted a training on the CACFP Serious Deficiency process with FNS Regional Offices. This training aimed to strengthen staff understanding of the process, which is vital to FNS's program monitoring and oversight of CACFP State agencies.	Jul-25
2	FNS released over \$36M to State agencies for FY25 Non-Competitive Technology Innovation Grants (nTIGs). The grants are for developing, implementing, and maintaining modernized IT systems for CN Programs. FNS also held a project planning webinar for States who received nTIGs.	Aug-25
3	Data collection for updated measurements on Area Eligibility and Tiering, key determinants in certification error, has begun. Over 25 State agencies have provided supporting administrative data for Family Day Care Homes, At-Risk Afterschool Care outlets, or NSLP schools.	Sep-25

Payment Integrity Scorecard

Program or Activity

Food and Nutrition Service (FNS) Child and Adult Care Food Program (CACFP) Family Day Care ..

Reporting Period

Q4 2025

Goals towards Reducing Overpayments	Status	ECD	Recovery Method	Brief Description of Plans to Recover Overpayments	Brief Description of Actions Taken to Recover Overpayments
1 FNS is continuing to generate monthly internal reports of its collaborative outlier detection model developed with National Agricultural Statistical Service. These monthly reports provide a detailed analysis of the program's administrative data. They aim to document and understand any irregularities that appear. If and when this happens, FNS will reach out to states to follow up. The goal is to catch and root out any erroneous or fraudulent payments as rapidly as possible.	On-Track	Sep-26	1	FNS has been granted a waiver for recovery of overpayments due to the nature of the program (i.e., State level administration, where States distribute reimbursements to program operators who submit claims and for monitoring and oversight of the claims submission process).	FNS has been granted a waiver for recovery of overpayments due to the nature of the program (i.e., State level administration, where States distribute reimbursements to program operators who submit claims and for monitoring and oversight of the claims submission process).
2 The agency is continuing work on ongoing and planned research studies aimed at better measuring and improving program integrity, like the update to Area Eligibility and Tiering Determinations Study. This updated research will give us better insight into root causes of error, which we can then use to inform improvements to our oversight and monitoring procedures.	On-Track	Sep-26			

Amt(\$)	Root Cause of Overpayment	Root Cause Description	Mitigation Strategy	Brief Description of Mitigation Strategy and Anticipated Impact
\$1M	Overpayments outside the agency control that occurred because of a Failure to Access Data/Information Needed.	Certification relies on reporting by household applicants in centers and relies partially on local poverty data (Census and school data) in homes. Both processes are manual and depend on program operators. These data are locally maintained and are not shared with FNS.	Training – teaching a particular skill or type of behavior; refreshing on the proper processing methods.	States monitor the operations of CACFP providers & sponsors in routine records-based and on-site reviews. States provide technical assistance on program operation including certification. USDA reviews state oversight of sponsors and their responsibility in the cert process.